SESSION 3: DEVELOPMENTS IN SUSTAINABILITY REPORTING

In a corporate context, sustainability means that a business entity must attempt to reduce its environmental impact through more efficient use of natural resources and improving environmental practices.

More and more business entities are reporting their approach to sustainability in addition to the financial information reported in the annual report. There are increased public expectations for business entities and industries to take responsibility for the impact their activities have on the environment and society.

Objective

a) At the end of this session, you should be able to describe the key developments in sustainability reporting.

Now read on . . .

Sustainability Reporting

Sustainability is the process of conducting business in such a way that it enables an entity to meet its present needs without compromising the ability of future generations to meet their needs.

Reporting Sustainability

- Currently, sustainability reporting is voluntary, although its use is increasing.
- Reports include highlights of non: financial performance such as environmental, social and economic reports during the accounting period.
- The report may be included in the annual report or published as a stand: alone document, possibly on the entity's website.
- The increase in popularity of such reports highlights the growing trend that business entities are taking sustainability seriously and are attempting to be open about the impact of their activities.
- Reporting sustainability is sometimes called reporting the 'triple bottom line' covering environmental, social and economic reporting.

Framework for sustainability Reporting

- Until June 2024, when two new sustainability reporting standards were issued, there was no universally accepted framework for sustainability reporting in IFRS and therefore reporting is voluntary.
- This lack of regulation leads to several potential problems:

- Because disclosure is largely voluntary, not all businesses disclose information. Those that do tend to do so either because they are under particular pressure to prove their 'green' credentials (for example, large public utility companies whose operations directly affect the environment), or because they have deliberately built their reputation on environmental friendliness or social responsibility.
- The information disclosed may not be complete or reliable. Many businesses see environmental reporting largely as a public relations exercise and therefore only provide information that shows them in a positive light.
- The information may not be disclosed consistently from year to year.
- Some businesses, particularly small and medium sized entities may believe that he costs of preparing and circulating additional information outweigh the benefits of doing so.

The Role of Key Organisations

Several organisations have been instrumental in developing frameworks and now standards for sustainability reporting. This session identifies the key organisations involved in sustainability reporting issues, their roles, impact and limitations in providing reporting framework for sustainability reporting.

Global Reporting Initiative

The most accepted framework for reporting sustainability is the Global Reporting Initiative's (GRI's) Sustainability Reporting Guidelines. The G3 Guidelines provide universal guidance for reporting on sustainability performance. They are applicable to all entities including SMEs and not: for: profit entities worldwide. The G3 consist of principles and disclosure items. The principles held to define report content, quality of the report, and give guidance on how to set the report boundary. Disclosure items include disclosures on management of issues, as well as performance indicators themselves. Applying these guidelines is voluntary.

The GRI suggests that entities report performance indicators so that users can monitor their performance from economic, environmental and social perspectives. Examples of such performance indicators may be:

- *Economic*
  E.g. proportion of spending with local suppliers; proportion of local workforce employment by the entity and their wages, pensions and other benefits; levels of taxes paid and subsidies received.
- *Environmental*

E.g. percentage of recycled material used in production, levels of gas emissions, levels of organic ingredients used in products.

- *Social*
  E.g. human rights, breakdown of workforce by ethnic background, policies in respect of working hours and labour practices, benefits provided to employees such as healthcare, gym membership.

Global Reporting Initiative G3 Guidelines

- **Purpose:** To help organizations report sustainability performance consistently and comparably.
- **Scope:** Covers economic, environmental, and social dimensions of sustainability.
- **Audience:** Companies, NGOs, governments, investors, and civil society.

Key Components

a) **Reporting Principles**: Guidance for defining report content, by applying the principles of materiality, stakeholder inclusiveness, sustainability context and completeness:
   - **Materiality:** Focus on issues that significantly impact stakeholders and the organization. The information in the report should cover topics which reflect the entity's significant economic, environmental and social impacts.
   - **Stakeholder Inclusiveness:** Identify and respond to stakeholder expectations. The reporting entity should identify its stakeholders and explain in the report how it has responded t their expectations and interests.
   - **Sustainability Context:** Place performance in the broader context of sustainability. The report should present the entity's performance in the wider context of sustainability.
   - **Completeness:** Ensure reports cover all relevant topics and boundaries. Coverage of the material topics and indicators and definition of the report boundary should be enough to reflect significant impacts and allow stakeholders to assess the reporting entity's performance

b) **Report Quality Principles**: Principles for ensuring report quality, these being balance, comparability, accuracy, timeliness, reliability and clarity.
   - **Balance:** The report should reflect both positive and negative aspects of an entity's performance to enable a reasoned overall assessment.
   - **Comparability:** Issues and information should be reported consistently. Reported information should be presented in a way which allows stakeholders to assess trends over time and compare the entity to other organisations.

- **Accuracy:** The reported information should be substantially accurate.
- **Timeliness:** Reporting should occur regularly and in time for stakeholders to make informed decisions.
- **Clarity:** Information should be understandable and accessible.
- **Reliability:** Information and processes used to prepare a report should be complied and disclosed in a way which establishes the quality of the information.

c) **Standard Disclosures**: This framework requires organisations to provide specific disclosures about their operations and sustainability performance. These disclosures fall into three major categories.

i. **Strategy and profile (Strategic Approach)**
Statement from CEO explain the relevance of sustainability to organisational strategy in the short, medium and long terms.
Description of organisation's key impacts on sustainability and impact of sustainability trends, risk and opportunities on the organisation.

Organisational profile
Overview of the reporting entity in terms of products, organisational structure, location of operations and markets etc.
Report parameters

- Boundary of report
- Specific exclusions
- Basis for reporting on subsidiaries etc
- Location of standard disclosure in the report

Governance

- Committees and responsibilities
- Mechanisms for stakeholders to provide recommendations to governance bodies
- Internal codes of conduct and their application

Commitments to external initiatives

- External initiatives to which the entity subscribes
- Strategic memberships, funding and participation in industry associations

Stakeholder engagement

- List of stakeholder groups engaged by entity;
- Approach to stakeholder engagement;

- Key topics and concerns of stakeholders.

ii. **Management Approach (Management Goals)**

Disclosures are intended to address the entity's approach to managing the sustainability topics associated with risks and opportunities. Disclosures may include:

- Goals and performance;
- Policy;
- Organisational responsibility;
- Training and awareness;
- Monitoring and follow up;
- Additional contextual information.

iii. **Performance Indicators**

Elicit comparable information on a number of areas, including:

- Environmental, for example, level of materials; energy and water used; biodiversity, level of emissions and waste; impact of products and services; and transport.
- Human rights, for example number of suppliers who have undergone human rights screening; number of discrimination actions; measures taken to contribute to the elimination of child and forced and compulsory labour.
- Labour practices, for example employment turnover; percentage of employees covered by collective bargaining agreements; rates of injury and occupational diseases; average hours training per employee per year; indicators of diversity.
- Society, for example impact of operations on communities; number of corruption investigations; number of legal actions for anti: competitive behaviour; level of fines for non: compliance with legal requirements.
- Product responsibility, for example results of customer satisfaction surveys; number of breaches of customer confidentiality and losses of personal data.
- Economic, for example level of spending on local suppliers; number of senior management hired from local community.

Benefits of Using the GRI G3 Guidelines

Organizations that adopt the G3 framework benefit in several ways.

- *Improved Transparency*: Provides stakeholders with detailed sustainability information.

- *Better Decision Making*: Helps management identify environmental and social risks.
- *Increased Stakeholder Trust:* Enhances credibility with investors and regulators.
- *Global Comparability*: Standardized indicators allow comparison across industries.

Limitations of the G3 Guidelines

Despite their benefits, the G3 guidelines have some limitations.

- *Complexity*: The large number of indicators can make reporting time: consuming and costly.
- *Voluntary Nature*: Since GRI reporting is not mandatory, organizations may selectively disclose information.
- *Risk of "Greenwashing":* Some companies may emphasize positive information while minimizing negative impacts.

Global Reporting Initiative G4 Guidelines

The Global Reporting Initiative G4 Guidelines are the fourth generation of sustainability reporting guidelines, introduced in 2013 to improve the quality, relevance, and comparability of sustainability disclosures by organisations worldwide.

The G4 framework was developed to make sustainability reports more focused, strategic, and stakeholder: relevant by emphasising materiality—that is, reporting on issues that are most significant to the organization and its stakeholders. The G4 guidelines replaced the earlier G3 and G3.1 guidelines and later evolved into the GRI Standards, which are currently used globally.

Overview of the GRI G4 Guidelines

The G4 guidelines provide a framework for organisations to disclose their economic, environmental, and social impacts. The framework is structured around three key elements:

- Reporting Principles
- Standard Disclosures
- Implementation Options

The GRI G4 Guidelines represented a major advancement in sustainability reporting by emphasising materiality, transparency, and stakeholder engagement. Although the framework has now been replaced by the GRI Standards, G4 remains an important milestone in the evolution of global sustainability reporting practices.

Overview of the GRI Standards

The GRI Standards are structured as a set of interrelated standards that organizations can use to prepare sustainability reports. They are designed to be:

- **Flexible** – organizations select only relevant topic standards.
- **Comparable** – standardized disclosures allow comparison between organizations.
- **Transparent** – encourages disclosure of both positive and negative impacts.

The framework focuses on impact reporting, meaning organizations must report how their activities affect the economy, environment, and society.

Structure of the GRI Standards

The GRI Standards are divided into three main groups.

1. Universal Standards: These standards apply to all organizations preparing sustainability reports.
2. Sector Standards: Sector standards provide additional guidance for specific industries because sustainability issues differ across sectors.
3. Topic Standards: Topic standards cover specific sustainability issues and provide detailed performance indicators.

Key Reporting Principles

The GRI Standards are based on several key principles.

- Materiality
- Stakeholder Inclusiveness
- Sustainability Context
- Completeness

Additional quality principles include:

- Accuracy
- Balance
- Clarity
- Comparability
- Reliability
- Timeliness

Benefits of the GRI Standards

Organizations using the GRI Standards gain several advantages.

- *Enhanced Transparency*: Improves disclosure of environmental and social impacts.
- *Better Stakeholder Communication*: Provides useful information to investors, regulators, and the public.
- *Improved Risk Management*: Helps organizations identify sustainability risks and opportunities.
- *Global Comparability*: Standardized disclosures allow comparison across industries and countries.

Limitations of the GRI Standards

Despite their benefits, some limitations exist.

- *Reporting Complexity*: Preparing reports can require significant resources and expertise.
- *Voluntary Nature*: Organizations may selectively disclose information.
- *Limited Financial Integration:* The standards primarily focus on sustainability impacts and may not fully integrate with financial reporting frameworks such as those promoted by the International Integrated Reporting Council.

THE TASK FORCE ON CLIMATE: RELATED FINANCIAL DISCLOSURES (TCFD)

The Task Force on Climate: related Financial Disclosures (TCFD) was established in 2015 by the Financial Stability Board (FSB) to develop a consistent framework for companies to disclose climate: related financial risks and opportunities. The initiative was chaired by Michael Bloomberg, founder of Bloomberg L.P.

The primary goal of the TCFD is to improve transparency in how organizations assess, manage, and report climate: related financial impacts, enabling investors, lenders, and insurers to make better: informed decisions.

The TCFD plays several important roles in global financial and sustainability reporting.

- **Developing a Climate Disclosure Framework:** The task force created a standardized framework for climate: related disclosures that organizations can include in their financial filings and annual reports. The framework helps companies report:
  - Climate: related risks

- Climate: related opportunities
- Financial impacts of climate change
- Strategies for managing these risks

This allows investors to better understand how climate change affects corporate financial performance and long: term viability.

- **Improving Financial Market Transparency:** The TCFD encourages companies to disclose reliable and comparable climate: related information. This improves the ability of financial markets to:
  - Evaluate climate risks
  - Allocate capital efficiently
  - Price assets accurately

  For example, investors can assess how vulnerable a company is to carbon regulations, extreme weather events, or energy transition policies.

- **Promoting Risk Management and Strategic Planning:** The TCFD encourages organizations to integrate climate risks into their business strategy and risk management processes. Companies are expected to analyse issues such as:
  - Physical risks (floods, droughts, storms)
  - Transition risks (regulatory changes, carbon pricing, technological shifts)

- **Supporting Global Climate Policy Goals:** By encouraging transparency, the TCFD helps support international climate initiatives such as the Paris Agreement, which aims to limit global warming. Better climate disclosures help governments, investors, and organizations track progress toward climate: related targets.

Key Components of the TCFD Framework

The TCFD framework is structured around four core disclosure pillars.

a) **Governance:** Organizations must disclose how their board and management oversee climate: related risks and opportunities. Example disclosures include:
   - Board oversight of climate issues
   - Management roles in climate risk management

b) **Strategy:** Companies must describe the actual and potential impacts of climate: related risks and opportunities on their business strategy and financial planning. Organizations are encouraged to conduct scenario analysis, such as assessing impacts under a 2°C global warming scenario.

c) **Risk Management:** Organizations must explain how they identify, assess, and manage climate: related risks. This includes integrating climate risks into the organization's overall risk management framework.

d) **Metrics and Targets:** Companies must disclose quantitative indicators used to assess climate: related performance. Examples include:
   - Greenhouse gas emissions
   - Carbon intensity
   - Energy consumption
   - Climate: related performance targets

Impact of the TCFD

The TCFD has had significant influence on sustainability and financial reporting globally.

- *Global Adoption*: Thousands of organizations worldwide—including banks, corporations, and asset managers—have adopted the TCFD recommendations. Many governments and regulators now incorporate TCFD: aligned disclosures into mandatory reporting requirements.
- *Influence on Regulatory Framework*: The recommendations have influenced sustainability disclosure standards developed by organizations such as:
    - International Sustainability Standards Board
    - Global Reporting Initiative

- *Improved Investor Decision: Making*: TCFD disclosures provide investors with clear information about climate risks and opportunities, helping them make better investment decisions. This also encourages companies to manage climate risks more effectively.
- *Encouraging Sustainable Business Practices*: The framework motivates organisations to:
    - Reduce greenhouse gas emissions
    - Improve environmental performance
    - Transition to low: carbon business models

Limitations of the TCFD

Despite its influence, the TCFD framework has some limitations.

- *Voluntary Adoption*: In many jurisdictions, implementation is voluntary, which may lead to inconsistent reporting.
- *Complexity of Climate Risk Assessment:* Conducting climate scenario analysis can be technically challenging and resource: intensive.

- *Lack of Standardized Metrics*: Some climate indicators may vary between companies, reducing comparability.

The Task Force on Climate: related Financial Disclosures (TCFD) has played a crucial role in improving corporate transparency regarding climate: related financial risks and opportunities. By providing a structured disclosure framework based on governance, strategy, risk management, and metrics, it has strengthened investor confidence, corporate accountability, and climate risk management worldwide.

INTERNATIONAL SUSTAINABILITY STANDARDS BOARD (ISSB)

The International Sustainability Standards Board (ISSB) is an independent standard: setting body established in 2021 by the IFRS Foundation to develop a global baseline of sustainability disclosure standards for capital markets.

The main purpose of the ISSB is to ensure that companies provide consistent, comparable, and reliable sustainability: related financial information to investors and other stakeholders. The board focuses particularly on information that affects enterprise value and financial decision: making.

Establishment and Background

The ISSB was created in response to the growing demand from investors and regulators for high: quality sustainability reporting standards.

Before the ISSB, sustainability reporting frameworks were fragmented, with organizations using different systems such as those developed by the Global Reporting Initiative and the Task Force on Climate: related Financial Disclosures.

To improve consistency, the IFRS Foundation established the ISSB to develop internationally accepted sustainability disclosure standards, similar to how the International Accounting Standards Board (IASB) develops financial reporting standards. The International Sustainability Standards Board (ISSB) represents a major step toward global harmonization of sustainability reporting. By developing standards such as IFRS S1 and IFRS S2, the ISSB provides a structured framework for organizations to disclose sustainability: related financial information, thereby improving transparency, accountability, and investor confidence in global capital markets.

Objectives of the ISSB

The main objectives of the ISSB include:

- Developing globally consistent sustainability reporting standards
- Improving transparency of sustainability: related risks and opportunities
- Providing decision: useful information to investors
- Enhancing comparability of sustainability disclosures across companies and countries
- Supporting the integration of sustainability reporting with financial reporting

Key Standards Issued by the ISSB

The ISSB has issued two major sustainability disclosure standards.

IFRS S1- *General Requirements for Disclosure of Sustainability*: related Financial Information. This standard requires companies to disclose material sustainability: related risks and opportunities that could affect their financial performance or enterprise value.

IFRS S2 – *Climate: related Disclosures*. This standard focuses specifically on climate: related financial risks and opportunities. It builds on the framework developed by the Task Force on Climate: related Financial Disclosures.

Key Features of the ISSB Framework

- *Investor: Focused Reporting***:** ISSB standards emphasize information relevant to investors and financial markets, particularly how sustainability issues affect enterprise value.
- *Global Baseline:* The standards provide a global baseline that countries can adopt or build upon for their own sustainability disclosure regulations.
- *Integration with Financial Reporting***:** ISSB standards are designed to align with financial reporting under IFRS, ensuring better integration between financial and sustainability disclosures.
- *Industry: Based Disclosures***:** Companies are encouraged to report sustainability information *relevant to their specific industry*.

Impact of the ISSB

The establishment of the ISSB has had significant global implications.

- *Improved Global Consistency*: It reduces fragmentation in sustainability reporting by creating internationally accepted standards.
- *Better Investor Decision*: Making: Investors gain access to reliable sustainability: related financial information.

- *Increased Corporate Transparency*: Companies are encouraged to disclose climate and sustainability risks affecting their long: term performance.
- *Support for Sustainable Finance*: ISSB disclosures help guide investment toward sustainable and responsible business practices.

Limitations and Challenges

Despite its benefits, the ISSB framework faces some challenges.

- *Implementation Complexity:* Companies may require new systems and expertise to gather sustainability data.
- *Regulatory Differences*: Countries may adopt the standards at different speeds, affecting global comparability.
- *Focus on Investors*: Some critics argue that ISSB standards focus mainly on investor needs rather than broader societal impacts.

SUSTAINABILITY ACCOUNTING STANDARDS BOARD (SASB)

SASB standards focus on sustainability issues that are most likely to affect the financial performance, financial position, or enterprise value of companies. These standards help investors understand how environmental, social, and governance (ESG) factors influence corporate financial outcomes. In 2022, SASB was consolidated into the International Sustainability Standards Board (ISSB) under the IFRS Foundation, but its industry: based standards continue to be widely used in sustainability reporting. The Sustainability Accounting Standards Board (SASB) played a major role in advancing investor: focused sustainability disclosure by providing industry: specific standards for reporting financially material ESG issues. Although it has now been integrated into the ISSB, SASB standards remain an important foundation for modern sustainability reporting and continue to support greater transparency, comparability, and accountability in global capital markets.

Objectives of SASB

The key objectives of SASB include:

- Providing standardized sustainability disclosure standards for companies
- Helping investors identify financially material ESG risks and opportunities
- Improving transparency and comparability of sustainability information
- Supporting better investment decision: making

The standards are designed primarily for investors and capital market participants, unlike some frameworks that focus more broadly on societal impacts.

Key Features of SASB Standards

- *Industry-Specific Standards*: One of the most distinctive features of SASB is that it developed *industry: specific standards*. SASB recognised that sustainability risks differ across industries. Therefore, it created standards covering **77 industries** across **11 sectors**, including:

    - Financials
    - Technology and communications
    - Transportation
    - Energy
    - Consumer goods
    - Health care
    - Infrastructure

    For example:
    - Energy companies report on greenhouse gas emissions and resource anagement.
    - Technology companies report on data security and privacy.

- *Focus on Financial Materiality:* SASB standards emphasize financially material sustainability issues —issues that could influence investors' decisions. This approach ensures that sustainability disclosures are relevant to financial performance and risk assessment.
- *Quantitative Metrics*: The standards require companies to disclose specific measurable indicators related to sustainability performance. Examples include: carbon emissions intensity, energy consumption, workplace safety rates, data privacy breaches, product lifecycle impacts
- *Integration with Financial Filings*: SASB standards are designed to be used in corporate financial filings, such as annual reports and investor disclosures. This allows sustainability information to be integrated with traditional financial reporting.

Structure of SASB Standards

Each SASB industry standard typically includes:

- Disclosure Topics
- Accounting Metrics
- Technical Protocols
- Activity Metrics

Impact of SASB

The SASB framework has significantly influenced sustainability reporting worldwide.

- *Improved Investor: Focused Reporting*: SASB standards provide decision: useful sustainability information for investors.
- *Greater Comparability*: Companies within the same industry report similar sustainability metrics, making comparison easier.
- *Support for Sustainable Investing*: The framework helps investors incorporate ESG considerations into investment analysis.
- *Contribution to Global Sustainability Standards*: SASB's work helped shape the standards now being developed by the International Sustainability Standards Board.

Limitations of SASB

- *Investor: centred focus*: The standards prioritize investor information needs, which may overlook broader societal impacts.
- *Implementation challenges*: Companies may face difficulties collecting reliable ESG data.
- *Limited scope compared to other frameworks*: Some sustainability issues addressed by frameworks such as the Global Reporting Initiative may not be fully covered by SASB.